Central Bank
of Armenia

2024 October

Transparency Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

October 29, 2024

Present at the meeting: Governor Martin Galstyan; Deputy Governor Armen Nurbekyan; Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to follow a gradual loosening path, consistent with the logic of prior policy actions.

In this context, on the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios are primarily related to uncertainty about the neutral rate in the United States; worsening geopolitical tensions, both globally and regionally; uncertainty about the country risk premium in the context of the fiscal deficit and geopolitical tensions; as well as other risks and uncertainties. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the risk for weaker aggregate demand and labor market conditions; as well as the risk of decreasing inflation expectations due to prolonged low inflation levels; concerns about potential adverse developments in the real estate sector; the potential for a sharp slowdown in global demand; scenarios of continuous investment growth driven by previously accumulated savings in the real sector of the economy; as well as other risks and uncertainties.

Against the backdrop of the broader set of risks, Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing.

Board members discussed issues related to the outlook for the U.S. economy and uncertainties surrounding Fed monetary policy. Members N. Ghazaryan and D. Nahapetyan raised concerns about sustained economic growth driven by private consumption, suggesting that persistently high interest rates could signal a higher neutral rate than market expectations. Board members N. Ghazaryan, D. Nahapetyan, and M. Galstyan noted the potential effects of the upcoming U.S. presidential election. They agreed that regardless of the election's outcome, an expansionary fiscal stance, along with rising global trade tensions, may have inflationary implications for the world economy. However, uncertainties remain concerning both the size and structure of a potential expansionary fiscal policy. In discussing possible scenarios of a rapid economic downturn, L. Sahakyan and N. Ghazaryan noted that the long-standing restrictive monetary and lending conditions could lead to significant adjustments within the U.S. financial system, with potential long-term negative impacts on overall demand. Addressing global economic developments, N. Ghazaryan pointed out risks related to the continued slowdown in domestic demand and economic activity in China and the European Union (and in particular potential adverse developments stemming from the growing divergence between manufacturing and services in the EU), which could also impact global commodity prices. Discussing the developments in Russia's economy, N. Ghazaryan expressed the view that in the medium term, due to restrictive monetary policies, demand in

Russia will significantly weaken. This may negatively affect both external demand for Armenia's domestic services and remittances to Armenia. On the other hand, the depreciation of the exchange rate due to high inflation and inflationary expectations in Russia could exert some depreciation pressure on the Armenian dram, leading to inflationary risks. A Manukyan emphasized the potential return of Armenian citizens from Russia to Armenia and the impact on the Armenian labor market in the event of tighter migration policies. Referring to the developments observed in international commodity markets, N. Ghazaryan noted that the recent increase in prices for several food products due to unfavorable weather conditions has not yet been fully reflected in local prices, so there are risks of adjustments in the near term. Overall, Board members agreed that risks of volatility and price increases persist in commodity markets, driven by ongoing geopolitical tensions. However, Hasmik Ghahramanyan argued that this would not translate to meaningful inflationary pressures on domestic food prices.

Discussions then touched upon key sources of uncertainty about underlying domestic economic conditions. All Board members emphasized uncertainty about the output gap and the relative balance between aggregate supply and aggregate demand. Levon Sahakyan pointed out that the high growth in retail trade, private consumption, and especially consumer lending signals strong domestic demand conditions. Other Board members, including N. Ghazaryan, H. Ghahramanyan, and M. Galstyan, expressed concern about the high rates of credit growth, which could pose certain Case A-type risks.

The Board also noted uncertainties within the labor market, highlighting conflicting signals from State Revenue Committee data, which reports an increase in registered workers, and Statistical Committee data, which suggests rising unemployment and a slow integration of forcibly displaced people from Nagorno-Karabakh into the domestic labor market. Nonetheless, Board members H. Ghahramanyan, D. Nahapetyan, and N. Ghazaryan believe that slowing wage growth and increasing unemployment are likely indicators of weakening labor market conditions and supply constraints. On the other hand, L. Sahakyan and A. Nurbekyan argued that these trends reflect a steady normalization of demand conditions.

Regarding inflation developments, some Board members, including Artak Manukyan, Davit Nahapetyan, Hasmik Ghahramanyan, and Narek Ghazaryan, noted that inflation has remained well below the target level for an extended period, which could present some risks of low inflation expectations forming. At the same time, Levon Sahakyan noted that this did not pose serious risks of inflation expectations becoming de-anchored and thus did not necessitate a rapid downward adjustment of policy at this point.

Board members had a broad discussion on the structural issues and the level of concentration of the high economic activity. Several members, including particularly L. Sahakyan, N. Ghazaryan and H. Ghahramanyan, expressed the view that current growth is largely driven by transitory factors across various key industries. M. Galstyan and H. Ghahramanyan also highlighted concerns about the structural characteristics and the non-inclusive nature of recent growth. Special attention was given to developments in the construction industry. All board members expressed concerns about risks associated with a potential rapid slowdown in construction, particularly in the housing sector, which could have a substantial, long-lasting impact on demand conditions.

Fiscal policy was also a topic of discussion. H. Ghahramanyan highlighted the risks stemming from potential revenue shortfalls. In contrast, L. Sahakyan and A. Manukyan argued that the risks of revenue under-collection were overstated. They pointed out that significant obligations had accumulated in the construction sector, which would be paid to the budget upon project completion. Given the recent surge in operating permits, they anticipated a notable acceleration in budget inflows. Joining the discussion, A. Nurbekyan emphasized the risks associated with the budget deficit and debt sustainability, while H. Ghahramanyan, touching upon the characteristics of the fiscal expenditure composition, opined that this would have an insignificant impact on overall demand. With the ongoing rise in regional and geopolitical tensions, along with uncertainties surrounding the fiscal position, all members emphasized concerns about the country risk premium, which could result in upward reassessments of the neutral interest rate. Additionally, the Board stressed the importance of continuously monitoring the uncertainties related to the neutral interest rate, as this factor will play a significant role in future Monetary Policy decisions.

Discussions also touched upon the monetary policy transmission mechanism. Board members noted that the CBA’s prudent policy actions, aimed at anchoring inflation expectations, have contributed to declining long-term market interest rates across the entire yield curve. Turning to lending rates in the economy, Board members were in unison that high demand for loans was a major contributing factor to lending rates remaining at elevated levels, as well as the volume of loans growing meaningfully. Levon Sahakyan added that the transmission mechanism is presently somewhat distorted for mortgage rates, in light of specific characteristics of this sector.

From a Case A perspective, the Board members highlighted uncertainties and risks related to the country risk premium and neutral interest rates stemming from both global, geopolitical, and fiscal policy-related considerations. On the other hand, Board members noted several Case B-type concerns, which primarily included risks of weakening domestic and external demand conditions; weakening labor market conditions; and concerns about the global economic outlook.

One group of Board members (including Martin Galstyan, David Nahapetyan, Armen Nurbekyan, Artak Manukyan and Narek Ghazaryan), argued that while the Case B-type risks are greater, the persistence of certain Case A-type risks necessitate a gradual loosening of the policy stance, in line with prior policy decisions.

Another group, including Hasmik Ghahramanyan and Levon Sahakyan, suggested that, from the perspective of policy objectives, the existing risks were mostly balanced. In this context, they believed that a gradual easing of the policy stance, in line with market expectations, would be more effective in balancing these risks at the current stage.

As a result, noting the increased likelihood of B-type scenarios materializing, but also emphasizing the need to manage the significant impacts arising from A-type scenarios, the Board of the Central Bank Board decided to continue the gradual easing of monetary conditions.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

While the Board believes that there is a greater likelihood of Case B-type scenarios materializing, it emphasizes the importance of minimizing the losses that could stem from the Case A-type risks. The Board thus finds it appropriate to continue to gradually ease the policy stance. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 4% inflation in the medium term.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
October 29, 2024 Decision

Board Member	Vote
Narek Ghazaryan	Decrease by 25 basis points
Levon Sahakyan	Decrease by 25 basis points
Artak Manukyan	Decrease by 25 basis points
Davit Nahapetyan	Decrease by 25 basis points
Hasmik Ghahramanyan	Decrease by 25 basis points
Armen Nurbekyan	Decrease by 25 basis points
Martin Galstyan	Decrease by 25 basis points

B. Final Vote Submissions

October 29, 2024

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as a careful assessment of the key sources of risk and uncertainty, I vote to reduce the policy rate by 25 basis points. My decision is motivated by a prudent balancing of both the Case A and Case B type risks. From a Case A perspective, the key uncertainty relates to the country risk premium and the neutral rate in Armenia. These concerns are driven by uncertainty about domestic fiscal policy (where the potential for higher expenditures could have implications on the fiscal deficit); persistent geopolitical tensions, both locally and regionally; as well as uncertainty surrounding the US neutral rate. A further Case A concern relates to the outlook for fiscal policy in the US, which could have expansionary demand implications and worsen existing debt challenges. However, in light of current economic developments, the Case B-type risks are, at present, more plausible and realistic. Specifically, softening labor market conditions, in tandem with the structural characteristics of recent growth and prolonged low inflation, pose risks of a low demand environment and low inflation expectations taking hold. However, given a “least regrets” desire to avoid undesirable, dark corner outcomes stemming from some of the Case A-type risks, I believe that a gradual easing of the policy rate best balances the risks and uncertainties at hand. I have therefore voted to reduce the policy rate by 25 basis points. In the event that new information or events emerge that require a reassessment of this balance of risks, I—along with the rest of the Board—express a resolute commitment to adjusting the policy stance in an appropriate and timely manner.

Deputy Governor Armen Nurbekyan

Considering the economic and financial developments over the past few months, discussions with the Board during the policy round, as well as a careful analysis of the key sources of risk and uncertainty, I vote to decrease the policy rate by 25 basis points. The CBA made a significant progress in decreasing inflation expectations after two years of very high inflation and significantly reducing the risk of deanchoring of inflation expectations. At the same time, significant uncertainty both in the external and domestic economies remains. In the US, economic activity has been sound, the progress of bring back the inflation to its target has been significant, however the uncertainty around the long-run neutral rate and the “last mile” of inflation is still present. The medium term outlook for budget deficits in the US adds significant upward pressure on the terminal rates. Global and regional geopolitical risks are elevated which presents a Case A risk due to the potential impact on the risk premium and hence neutral interest rate in Armenia. In the rest of the world, most notably EU and China, risks to economic activity are tilted downwards posing the main Case B risks. In the domestic economy low inflation has been accompanied with high growth, which is, however, concentrated in the services and construction sectors--demand-prone sectors-- indicating that below-the-target inflation is not driven by deficient demand. Economic activity continues to stay strong converging to potential growth rate. In addition, fiscal policy is one the main case A scenario drivers through the positive demand effects in the short run, but also due to the potential effects on risk premium as the level of public debt rises. This in turn may create pressure for risk premium to increase. At the same time, case B considerations from the domestic economy have been mainly reflected in the softness of the labor market. The moderation of the wage growth as well as the uptick of the unemployment in the first quarter of 2024 warrant a serious consideration of case B scenarios. The moderate decrease of unemployment in the second quarter, however, is positive news. The significant uncertainty about neutral interest rate, the path of the fiscal policy together with low inflation and some softness in the labor market motivates my vote to cut the policy rate by 25 basis cuts. This balances the risk of cutting too aggressively amid the significant uncertainty about the neutral rate and highly uncertain fiscal policy path against the risk of being slow in recognizing the potential softness in demand. The cost of policy error of cutting too aggressively and the potential policy reversal as opposed to failing to recognize the softness to the demand in a timely manner are balanced in my view.

Board Member Hasmik Ghahramanyan

During the October 29, 2024 CBA Board meeting, I vote in favor of reducing the policy rate by 25 basis points. My decision has been motivated by my assessment of current economic conditions, previous policy decisions, the economic outlook, and various risk scenarios, in light of my and the Board's commitment to achieve the price stability objective of bringing inflation to the 4% target in the medium term. I believe that inflationary pressures from the external sector will not have meaningful impacts the Armenian economy in the near future. Although developments in key trading partner countries indicate a slight broadening of inflationary environments, external influences on Armenia's economy are likely to remain non-inflationary, assuming no drastic geopolitical shifts alter the landscape. I also believe that domestic economic developments have minimal inflationary impact on aggregate demand in the forthcoming future. While high economic activity persists, it lacks growths of fundamentals, and the sustained high growth in activity-driving sectors remains uncertain and risk-laden. On the other hand, inflationary pressures from the labor market have softened due to the slowdown in wage growth, which is a factor reducing demand. The impact of fiscal policy remains complex to gauge from the perspective of the spending multiplier. However, the overall impact of revenues and expenditures on the inflationary environment appears to be moderate. I believe the outlook for neutral interest rate estimations remains uncertain, due to complexities around potential GDP and the country's risk premium, which itself depends on the medium-term neutral rate established in major economies. A detailed analysis of the yield curve and remaining premium factors will provide a better understanding of the monetary policy transmission mechanism, laying a clearer foundation for future rate decisions. I anticipate developments in Armenia that indicate a need for rate reductions. During the September 10 Board meeting, I proposed discussing the possibility of concluding the rate reduction cycle. My decision today reflects a weakening in certain economic fundamentals and considers the larger-than-expected rate reduction by the U.S. Federal Reserve. While clarity around the neutral rate threshold remains a concern, I have prioritized the high likelihood of a rate reduction outlook as the basis for my decision. In the event that any risks or new information emerge, I express my readiness to take appropriate actions in order to ensure that inflation returns to the 4% target in the medium term.

Board Member Davit Nahapetyan

Based on the recent economic and financial developments, as well as discussions within the Board and with the macroeconomic team throughout the policy cycle, and a detailed assessment of the primary sources of risks and uncertainties, I vote in favor of reducing the policy interest rate by 25 basis points. While regional tensions introduce notable uncertainties, my assessment suggests that the external factors impacting Armenia's economy exhibit predominantly deflationary tendencies. Although there are signs of slight decline, economic activity in Armenia remains at high levels, with growth distributed more evenly across economic sectors, which I view positively. In my opinion, factors affecting aggregate demand have somewhat softened due to a modest weakening in external demand for domestic services. I underscore the need for a cautious and measured approach in estimating the neutral interest rate and the country's risk premium, as both are vulnerable to potential fluctuations in geopolitical risks and evolving domestic economic conditions. Detailed analysis of the economy's current trends and underlying conditions leads to the conclusion that, despite the presence of Case A-type risks, signals of Case B-type risks materializing are more tangible. In my view, despite inflation rates recorded below the target in recent months, a cautious easing of the interest rate is essential for anchoring inflation expectations. In this context, I consider a gradual 25 basis point reduction in the policy interest rate over the medium-term horizon to be a rational and prudent measure that best manages both upward and downward risks. In line with price stability objectives, I affirm the Central Bank's commitment to continuous monitoring and adaptive policy interventions, should new economic dynamics emerge that require additional action.

Board Member Artak Manukyan

In the context of economic and financial developments in recent months, I have assessed the main sources of potential risks and uncertainties. Given this, I vote in favor of decreasing the policy rate by 25 basis points. A close examination of the data shows that the external sector poses certain upside risks (in particular risks of higher commodity prices, as reflected in increases in FAO), which could transmit weak inflationary effects to the Armenian economy. In the domestic economy, I believe that Case B risks are more likely to materialize. Specifically, a declining growth rate for capital inflows could result in risks of weakening aggregate demand. I believe this risk has a high likelihood of materializing, especially considering negative regional developments, which could also exacerbate their impacts on tourism flows. Labor market conditions continue to weaken, as reflected in somewhat declining wage growth, non-traded sticky price inflation, and inflation expectations. However, risks of additional demand pressures coming from fiscal policy remain real. Despite inflation remaining well below target in recent months, a thorough examination of current and underlying economic conditions has convinced me to adopt a balanced approach, which entails a cautious loosening of the policy stance. This is important for both anchoring inflation expectations as well as managing market expectations. Given this, I believe a 25 basis point reduction in the policy rate is a balanced step, which best manages the risks posed by, and minimizes the regrets stemming from, the relevant Case A- and B-type scenarios materializing. I affirm that the CBA Board will continue to monitor economic development scenarios and, when necessary, take appropriate steps in order to ensure the price stability objective.

Board Member Levon Sahakyan

Having discussed current and underlying developments in the economy, the key sources of risks and uncertainties during the policymaking cycle, as well as market expectations, I vote in favor of a 25 basis point reduction in the policy rate. Following the significant reduction of the policy rate by the U.S. Federal Reserve, expectations of policy easing have emerged in the financial markets. In my view, all else being equal, this creates additional space for discussions on the stance of monetary policy in Armenia. Risks of economic slowdown persist in the EU and China, which could lead to a weakening of global demand. Under these conditions, I believe that the impacts from the external sector on the Armenian economy will be primarily deflationary or neutral. In the domestic economy, although external demand factors are gradually weakening, the robust growth of domestic demand—particularly in private consumption and retail trade—indicates a relatively stable aggregate demand environment. This is further evidenced by the sustained increases in lending volumes, which contribute to a stable environment for both demand and economic growth. In my estimation, the latest developments in the labor market mainly reflect the stabilization of the demand environment and do not present risks related to a weakening of overall demand. Given the current uncertainties, I am concerned about potential scenarios related to the perspective of fiscal policy in terms of Case A-type risks. From the perspective of Case B-type scenarios, risks of a slowdown in the construction sector remain. In this context, balancing the uncertainties arising from Case A- and B-type scenarios, I consider it appropriate to gradually reduce the policy rates in line with medium-term market expectations in order to meet the price stability objective.

Board Member Narek Ghazaryan

Taking into account discussions with other members of the Board during the policy round, the analysis of current economic developments and fundamental conditions, as well as a comprehensive assessment of primary sources of risk and uncertainty, I vote in favor of reducing the policy rate by 25 basis points. My decision is based on a firm conviction that, although B-type deflationary risks predominate in the current phase of the economy and in the medium-term horizon, there are nonetheless significant A-type inflationary risks in the medium-term horizon. Highlighting the dominance of B-type risks, I note that a trend of slowing inflation and softening labor market conditions continues to be recorded in the US, EU, UK, and other advanced economies. Considering the stringent monetary policy that has been in effect in these economies for approximately two years and is still in place, it is possible that global inflation may quickly decline and remain below target levels for a significant period. Addressing the deflationary risks observed in the domestic economy, I note the continued slowdown in nominal wage growth in the Armenian economy, weakening external demand for several exportable services, and that overall inflation recorded in Armenia remains below the CBA target. It is noteworthy that if previously mentioned above-normal economic activity in the real estate market slows, this would result in a deceleration of aggregate demand in the domestic economy, generating additional deflationary risks. In describing existing deflationary risks, it is also important to note a number of inflationary risks. Specifically, following the upcoming presidential elections in the US, there may be a significant increase in fiscal stimulus and a rise in global trade tensions, developments that could ultimately lead to an acceleration of inflation in several globally traded goods. Additionally, should geopolitical tensions persist or escalate, there may be an increase in inflation for raw materials in global markets, as well as an upward revision of Armenia's risk premium. I would also note that inflation and inflation expectations in the Russian economy have continued to accelerate, remaining substantially above the target level. These external developments could increase inflationary pressures on the Armenian economy. In the medium term, there are also inflationary risks associated specifically with domestic economic developments, particularly high economic activity in trade and several other service sectors, high growth rates of lending to Armenian businesses and households, as well as accumulated savings and rising asset prices in the domestic economy, which could stimulate internal demand for a significant period, creating additional inflationary pressures. Taking into account the described A- and B-type risks, I am convinced that it is necessary to continue the CBA's policy of moderate reductions in the refinancing rate, with the aim of ensuring inflation close to the target in the medium term. I reaffirm my commitment to the goal of price stability and emphasize my readiness to respond with appropriate actions to any new information that may pose a risk to achieving the 4 percent inflation target and the price stability goal over the medium term.

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